Everybody Owns a Piece: The Rulebook

Oct 19, 2026 · @Chris

These are the rules of the setup that held up best in round two, written so someone who didn't build the model could rebuild it from scratch. Each rule says what happens and when. Section 9 gives the data, the order of operations and the numbers a rebuild should hit.

Two marks:

- **Value choice: Chris's.** The numbers can't pick this one; it's about what people value. The rule states the setting used and what else was tested.
- **Legal.** It depends on law or the courts, not arithmetic.

Everything unmarked is either kept from the essay as written (the 1.5% issue, the quarter, the profit share, the fee path, equal checks) or set by the numbers. The report (Everybody Owns a Piece: Running the Switches) shows why; the workbook lets anyone change a setting and see what moves.

1. Who's covered

1.1 Phase one: every company in the S&P 500. The model starts the plan on January 1, 2021.

1.2 Phase two: every other U.S.-listed company above the size line (500 employees or $100 million in revenue). On 2025 values this raises the ownership dividend about 18%.

1.3 Private companies and the U.S. arms of foreign companies are not covered until the law sets how to value them each year. The tested option is the cash option: a private company pays the fund, each year, what its new shares would have been worth. **Legal. Value choice: Chris's** (whether and when).

1.4 The foreign formula is off. If it's on, each company's yearly issue is 1.5% times its U.S. share of revenue and its target is a quarter times the same share, which cuts the ownership dividend by about the share removed (about 28% at 71% U.S. revenue). **Legal. Value choice: Chris's.**

2. The share issue

2.1 Every January 1, each covered company issues new shares to the citizen fund equal to 1.5% of the company after the issue, priced at the prior December 31 close.

2.2 The issue stops when the fund holds a quarter of the company. The last issue is just big enough to reach it. If the fund held h before the issue, the issue i and the holding after it are:

```
i       = min( 0.015, (0.25 - h) / (1 - h) )
h_after = h * (1 - i) + i
```

2.3 After that, new shares are issued only to bring the fund back to a quarter if its stake ever falls below it. Under rule 3.4 it never does, so no new shares are issued after the fund is full.

2.4 Nobody else gets new shares from the plan. The new shares dilute every existing owner equally, the fund included.

Result: the fund reaches a quarter at the start of 2040, and the people who owned the companies in 2020 keep 75% from then on.

3. The citizen fund and its payout rule

3.1 Cash in: the fund's share of every dividend the covered companies pay, and of every buyback. It sells into buybacks in proportion to its stake, so the buyback turns into cash without changing its stake. Only net buybacks count: buybacks minus new stock companies hand out for pay and deals.

3.2 Running cost: 0.05% a year of the value of the fund's shares on January 1. The reserve isn't counted.

3.3 The check: 80% of the fund's stake times the average cash the covered companies paid all their owners over the last five years (dividends plus net buybacks, counted in today's dollars). **Value choice: Chris's**, inside a tested range: 75% to 85% all pass every line.

3.4 The limit: the check is never more than this year's cash in, less costs, plus the reserve. The fund never sells a share to pay a check.

3.5 The reserve: cash left over after the check and costs goes to the reserve. If the reserve, after this year's check, is more than two times this year's check, a fifth of the amount above that is paid out that year as a bonus on top of the check. **Value choice: Chris's**, inside a tested range: one to three years all pass. One year pays about 3% more over 35 years and lets a 2008-style slide reach 34%; three years pays 3% less and holds it to 24%.

3.6 Who gets it: the check and any bonus are split equally among everyone living in the United States (the Census count of July 1), children included.

In symbols, for year t, with s the fund's stake after the January 1 issue, C the cash all owners received, D the cash the fund received, K its costs and R its reserve:

```
avg5[t]  = (C[t-1] + C[t-2] + C[t-3] + C[t-4] + C[t-5]) / 5
check[t] = min( 0.80 * s[t] * avg5[t],  D[t] - K[t] + R[t-1] )
bonus[t] = 0.2 * max( 0, R[t-1] + D[t] - K[t] - check[t] - 2 * check[t] )
R[t]     = R[t-1] + D[t] - K[t] - check[t] - bonus[t]
```

Through 2025 the model gives the reserve no interest. From 2026 it's counted in 2025 dollars like everything else, which assumes Treasury bills keep it level with inflation and nothing more.

4. Workers

4.1 The profit share: each covered company pays 10% of its pre-tax profit to its workers every year, split equally per worker and capped at three months' pay per person; anything above the cap stays with the company. Half is paid in cash and half goes into the worker's own locked account under rule 7.2. All of it is the worker's from the day it's paid, whether they stay, quit, retire or are laid off.

4.2 No worker trust. The plan gives workers no shares, so there is nothing to cash out, wait for or forfeit when someone quits, retires or is laid off. **Value choice: Chris's.** Two designs that do give workers shares also pass every line: leavers keep their shares for good, with those shares still counting toward the quarter, or one pooled fund pays current workers its income and leavers keep nothing. Either one sends half of each year's new shares to workers and halves the ownership dividend ($445 instead of $891 a person in 2040). Every design that pays leavers out of a trust or out of company cash fails: it needs new shares forever, makes leavers wait 30 years or more, or drains the citizen check.

4.3 Whether the profit share counts as wages for payroll tax: **Legal.** If it does, it brings in about $33 billion a year (CBO's 9% payroll rate on labor income, 2025 terms).

5. Carbon

5.1 The fee: $43 a ton of carbon dioxide in 2021, rising 5% a year above inflation, collected where fuels enter the economy (the Baker-Shultz path).

5.2 The rebate: the fee, less 1% for collecting it, sent back in equal checks to everyone, children included. It is fully spendable, never locked, because it covers prices that go up now.

5.3 The rebate is written into the amendment, so repealing it takes more than a regular law.

5.4 How much of the fee goes back: all of it, tax-free. **Value choice: Chris's.** All of it tax-free costs the Treasury about $56 billion a year in 2025 terms ($80 billion by 2040), because higher prices shrink the income and payroll tax base by about a quarter of the fee. Sending back 75% makes the carbon line pay for itself, at a check a quarter smaller. Making the full rebate taxable and open to everyone does the same under JCT's scoring, at the cost of income tax on each check. Only the carbon line evens out that way; the plan's other budget lines come to about -$33 billion a year in 2025 terms, or about zero if the profit share counts as wages (rule 4.3).

6. The ad levy

6.1 The base: each company's U.S. digital ad revenue, which the law would require companies to report to the IRS each year. Nothing turns on whether an ad counts as targeted, because nobody measures that. Choosing a base that can be measured is a judgment, not a number. **Legal** (the reporting rule).

6.2 The rate: 30% of each company's U.S. digital ad revenue above $5 billion. Below the line, nothing. On 2025 numbers this raises $59 billion to $79 billion, $172 to $231 a person, about what round one's targeted base did. **Value choice: Chris's.** The alternative is Paul Romer's rising rates (0% under $5 billion, up to 72.5% above $60 billion): $86 billion to $130 billion, but built to shrink the business it taxes.

6.3 The proceeds go back in equal checks to everyone.

6.4 Whether a federal levy on ad revenue survives the courts: **Legal.** Maryland's state version was struck down by its Tax Court in August 2026 and is on appeal.

7. The lock

7.1 The carbon check is never locked (rule 5.2). With half of it locked, as the essay had it, a middle family clears only $44 a person a year after the higher prices with the full rebate ($371 unlocked), and falls $38 a person short every year with a 75% rebate. If the rebate is

ever cut, the numbers settle this rule. With the full rebate they don't: **Value choice: Chris's.**

7.2 Half of everything else (the ownership dividend, the ad check and the profit share) goes into a locked account in the person's own name; the other half is spendable. **Value choice: Chris's.** Tested: half, a quarter, none. Half of everything builds about twice as much as this rule and buys Joe's family a house eight years sooner, with about $1,300 a year less to spend now.

7.3 A locked account can be spent on a home down payment or in retirement, as the essay sets out. A child's account is held for them and goes with them at 18.

7.4 Where the locked money is invested is set in law; the illustrations assume it earns 3% a year after inflation, the essay's figure.

8. The standards it was built to

These pass lines were set before any setting was run. The rules above meet all four on every one of ten market paths, including 2000-2005 and 2008-2013 replayed onto the full fund. **Value choice: Chris's** (the lines themselves).

1. A check can't fall too far: the ownership dividend falls no more than 15% in any year after inflation, and the whole check (dividend, ads and carbon) no more than 10%.
2. Minimum reserve: zero. The fund may spend its reserve to nothing, but never sells shares to pay checks.
3. No new shares forever: the 2020 owners keep at least 73% of the companies in year 30 and 70% in year 100, and no stress year needs more than 0.5% of a company in new shares.
4. People who leave get paid: every vested share within six years, the schedule the law sets for retirees in employee plans. The winning rules hold no shares for workers, so this one passes by having nothing to pay.

9. Rebuilding the numbers, with check values

The data, all on the workbook's Data tab with a source for each number:

- S&P 500 market value at each December 31, 2016-2025; dividends paid each year; gross buybacks.

- Net buybacks for 2021-2025: S&P's estimate of the 1% buyback excise tax, divided by 1% (the tax falls on buybacks minus new shares issued). For 2016-2020, 90% of gross buybacks, the 2021-2025 ratio rounded. S&P never published fourth-quarter 2025 buybacks; they're set equal to the third quarter.
- Consumer prices (CPI-U annual averages) and the July 1 population. After 2025 the population grows 0.3% a year in 2026 through 2036 and 0.1% a year from 2037 (CBO).
- Carbon: EIA's energy CO2 emissions times RFF's ratio of emissions with the fee to without it (2021-2025). After 2025 those with-fee tons fall 2.5% a year, compounding, from the 2025 level.
- Ads: IAB's U.S. internet ad revenue.

The conventions:

- The profit share comes out of shareholders' profits, so company values and payouts are trimmed 9% everywhere (10% of after-tax profit, a little less with the pay cap).
- 2021-2025 run on what happened, in dollars of each year. From 2026 everything is in 2025 dollars and company values don't grow after inflation.
- From 2026 companies pay owners 2.6986% of their January 1 value each year: 2025's dividends plus net buybacks ($1,577 billion) over the December 31, 2025 value ($58,438 billion). Use it unrounded; 2.70% moves two check values.
- The share issue doesn't change a company's total value. The fund's January 1 value is its stake times the prior December 31 value after the trim.
- The reserve is plain cash in each year's dollars through 2025, with no interest and no inflation adjustment. From 2026 it's in 2025 dollars like everything else.
- The carbon fee's $43 is in 2021 dollars. For 2021-2025 the fee in that year's dollars is $43 x 1.05^(year - 2021) x that year's CPI / 2021's CPI. From 2026 it grows 5% a year in 2025 dollars.

Each year, in this order:

1. January 1: the share issue under rule 2, at the prior December 31 value after the trim.
2. Cash in: the fund's stake times the year's dividends plus net buybacks, after the trim.
3. Costs: 0.05% of the fund's January 1 value. Shares only; the reserve isn't counted.
4. The check under rules 3.3 and 3.4. The five-year average uses the five years before the current one (2021 uses 2016-2020), after the trim, in 2025 dollars. In 2021-2025, multiply that average by the year's CPI over 2025's CPI, putting it in the year's own dollars, before applying the limit in 3.4; cash in and the reserve are in that year's dollars.
5. The leftover goes to the reserve, then the bonus under rule 3.5.

6. Per person: check plus bonus over the July 1 population. In 2025 dollars: times 2025 CPI over that year's CPI.
7. Carbon per person: fee times tons times 99%, over the population, then into 2025 dollars the same way. Ads per person: the levy over the population, held at its 2025 level after 2025.

A stress path swaps the central path's two numbers for its own, year by year: the change in company value after inflation, and the cash paid to owners as a share of the January 1 value. The ten paths are on the workbook's Scenarios tab. Their other two rows, covered jobs and extra separations, matter only for designs that give workers shares.

A rebuild on the central path, phase one (S&P 500 only), should hit these:

Check value	2021	2025	2030	2040	2050
Citizen fund stake	1.50%	7.28%	14.03%	25.00%	25.00%
2020 owners' share	98.5%	92.7%	86.0%	75.0%	75.0%
Ownership dividend per person, 2025 dollars	$43	$223	$464	$891	$972
Reserve, $ billions, 2025 dollars	7	70	230	690	819
Carbon check per person, 2025 dollars	$601	$654	$725	$897	$1,123

And along the way:

Intermediate value	Should come out
2021, in 2021 dollars: cash in, costs, check	$17.80 billion, $0.216 billion, $11.91 billion
2025: cash in, check	$104.45 billion, $76.36 billion
First bonus, 2025 dollars	$5.04 billion, in 2036
Stake after the 2039 issue; size of the 2040 issue	24.961%; 0.052%
2008-2013 replay: worst one-year fall in the ownership dividend	13.5%, in 2047
Cash squeeze: lowest reserve, 2025 dollars	$10.2 billion, in 2030

A number matches if it agrees to the rounding shown, within half of the last digit. Two sit near a rounding edge: the 2030 carbon check is $724.95 and the 2040 reserve $689.67 billion. The limit in rule 3.4 never binds on the central path or on any of the ten stress

paths; the cash squeeze comes closest.

Two separate builds already do these steps: the engine (engine.py and the files beside it, in the engine folder inside SOMA) and the workbook's Model tab. They agree to the cent on all 27 combinations of settings checked. An outside rebuild from an earlier draft of this rulebook and the Data tab alone hit all 25 check values; the six places where that draft's wording allowed more than one reading are now pinned down above.